From Capital Accumulation to Household Welfare

Sectoral Saving, Fiscal Institutions, and China's Consumption Transition: A Comparative Study of China, Japan, Korea, Singapore, and the United States

Research working paper · Version 1.0 · 22 October 2026 Research initiated and published by deepbule0; research organization and drafting assisted by ChatGPT. This is a public comparative macroeconomic and fiscal working paper, not an article that has passed journal peer review. It advances testable arguments without claiming new microeconomic causal estimates. The Chinese and English versions share the same substantive arguments, data, and policy assumptions.

Abstract

China's transition toward consumption cannot be reduced to household preferences for saving. This paper compares China, Japan, Korea, Singapore, and the United States through sectoral income accounts and fiscal institutions. It distinguishes saving from deposits, gross from net saving, domestic from national saving, and household saving propensities from the household share of disposable income. A common World Bank snapshot for 2024 places Chinese household consumption at approximately 40.0% of GDP and gross capital formation at 40.5%. Singapore has an even lower household consumption share, but a substantially different production, cross-border income, and public asset structure. China's 2023 flow-of-funds accounts place household and corporate gross saving at 21.23% and 22.22% of GDP, respectively, while general government gross saving is negative. The household share of sectoral disposable income first declined and then recovered, contradicting a narrative of uninterrupted decline. The central argument is that institutions distributing income, insuring household risks, and transferring public capital returns into welfare may adjust more slowly than productive capacity when marginal returns to some investments diminish. Comparative evidence supports investigating this joint mechanism but does not identify precise causal contributions. Fiscal reform should strengthen credible household protection, clarify central-local responsibilities, improve public capital governance, and preserve investments with high social returns. Globally, all countries cannot absorb saving through external surpluses simultaneously. Sustainable adjustment requires appropriate domestic demand in surplus economies, fiscal discipline in deficit economies, and productive international investment.

Keywords: sectoral saving; household consumption; income distribution; intergovernmental finance; public capital; global imbalances **JEL classifications:** E21, E22, E62, H50, H63, O11

1. Research question, method, and welfare criterion

The allocation of current production between consumption, capital formation, and net supply to the rest of the world shapes opportunities across generations. Saving can support infrastructure, education, innovation, and resilience. Consumption realizes the benefits of production. Neither a saving rate nor a consumption share independently measures economic success: both require interpretation in light of development, returns, distribution, and institutions.

The paper combines comparative institutional analysis with reproducible national-account descriptions. The international aggregate comparison uses a single World Bank WDI snapshot for calendar year 2024. Sectoral evidence comes from identifiable national sources, with its year, institutional perimeter, and gross or net convention stated explicitly. Research papers and policy reports inform mechanisms; cross-country associations are not treated as causal policy estimates. The research cutoff is 22 October 2026. More recent reports inform the diagnosis, but this is not an exhaustive dashboard of every 2026 release.

The normative criterion is household welfare over time, adjusted for risk: real consumption and public services, health, education, employment security, leisure, distribution, and environmental and fiscal sustainability. This is an explicit evaluative choice, rather than a claim to a value-free supreme perspective. A higher consumption share can be one result of improved welfare institutions; it is not the ultimate objective.

2. Literature and essential accounting distinctions

Existing research does not justify attributing Chinese saving to one cultural trait. Chamon and Prasad examine changing responsibilities for housing, education, and health expenditure. Chamon, Liu, and Prasad study income uncertainty and pension reform. Xu and coauthors examine rural social expenditure, household registration, and housing adjustment. The samples, periods, and methods differ: they establish reasons to investigate these mechanisms, not coefficients that can automatically be applied to 2026.[8-10]

Corporate saving is also not uniquely Chinese. Chen, Karabarbounis, and Neiman document a global increase, making the distribution of income between firms and households central to the analysis.[11] This paper connects those questions to fiscal risk sharing and the use of returns on public assets.

2.1 Saving is a flow; deposits and cash are stocks

Saving is the difference between income and consumption over a period. Deposits can increase because of saving, asset sales, or borrowing. Saving can also finance equity purchases or debt repayment. Corporate cash holdings are neither annual saving nor profits that can all be distributed without cost. Holding gains on property or equities generally do not enter current saving, although they can influence consumption.

2.2 Denominators, depreciation, and sector boundaries

Measure	Denominator or calculation	Interpretation
Household saving rate	Household saving / matching disposable income	The share of household income retained
Household saving/GDP	Household saving / GDP	The macroeconomic size of household saving
Corporate saving/GDP	Corporate saving / GDP	The macroeconomic size of corporate accumulation
Gross versus net saving	Net saving = gross saving - consumption of fixed capital	Whether depreciation is included
Gross domestic saving	GDP - total final consumption	Domestic production not used for final consumption
Gross national saving	Gross national disposable income - total final consumption	Accumulation from residents' disposable income

A corporation-based comparison should distinguish nonfinancial corporations, S11, and financial corporations, S12. Whether households, S14, include nonprofit institutions serving households, S15, must also be stated. State ownership is a separate classification: total corporate saving does not identify saving or efficiency in state-owned enterprises.

The accounting framework relevant to the historical data can include an adjustment for changes in pension entitlements, D8. Define Yh* = household disposable income + D8; Sh = Yh* - Ch; and sh* = Sh / Yh*. Then:

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Ch / GDP = (Yh* / GDP) × (1 - sh*)
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The asterisk denotes the pension adjustment used here to match the saving rate. It does not mean the separate statistical concept of adjusted disposable income, which includes social transfers in kind and must be matched to actual household final consumption. Public education or health services can increase actual household consumption without an equivalent increase in household final consumption expenditure.[3-4]

National saving sums saving across domestic institutional sectors. In fully consistent national and international accounts, national saving less gross capital formation corresponds to the current account balance. Capital transfers and transactions in nonproduced nonfinancial assets also enter the capital-account calculation of net lending or borrowing. Series from different sources should not be forced into an exact identity. Government saving is a current-account concept; a fiscal deficit additionally reflects capital expenditure and other transactions.

Bank lending can create deposits. Saving is therefore not a fixed pile of funds that banks must first collect before extending credit. The ex post saving-investment identity, the financing of investment, bank balance sheets, and the mobilization of real resources are distinct analytical questions.

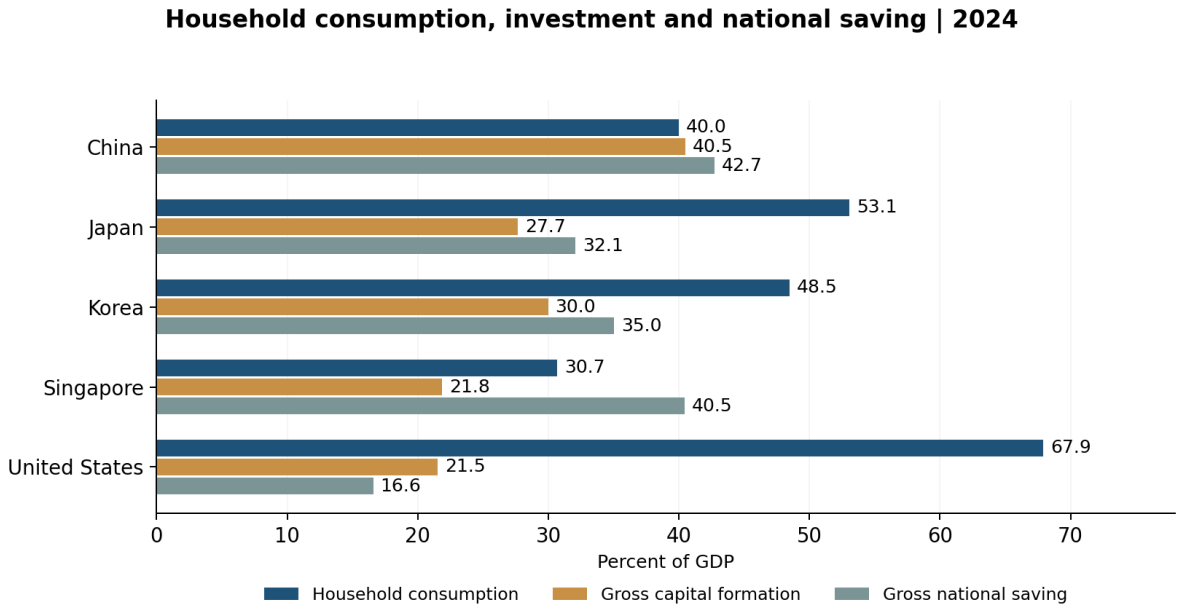
3. Descriptive evidence: similar aggregate saving, different institutions

3.1 A common 2024 aggregate baseline

Table 1 reports percentages of GDP at current prices for calendar year 2024. C_h includes households and NPISHs; C_g is government final consumption; I is gross capital formation; S_n is gross national saving; and CA is the current account.[1]

Economy	C_h	C_g	Total C	I	S_n	CA
China	39.97	16.71	56.68	40.48	42.72	2.47
Japan	53.07	20.14	73.21	27.68	32.06	4.62
Korea	48.49	17.48	65.97	29.97	35.03	5.33
Singapore	30.68	10.05	40.74	21.85	40.45	17.20
United States	67.91	13.62	81.53	21.53	16.59	-4.09

The underlying World Bank API responses are frozen with database update date 8 October 2026. The appendix contains full precision, series for 2000-2024, and query URLs. Consumption shares describe expenditure structure; they directly measure neither living standards nor an output gap.



Source: World Bank WDI, API update 2026-10-08. Bars are not additive.

Figure 1. Common WDI snapshot; percentages of GDP. National saving is not an expenditure component of GDP and must not be stacked with consumption and investment.

Singapore particularly illustrates the distinction between domestic production and residents' income. Its gross domestic saving is 59.26% of GDP, versus gross national saving of 40.45%. For Japan, the respective values are 26.79% and 32.06%. The gaps

reflect the combined contribution of net cross-border primary income and net current transfers. They cannot be assigned entirely to multinational profit outflows or overseas investment income without additional accounts. A low consumption/GDP ratio can therefore partly reflect the ownership of income generated domestically.

WDI series retain differences in underlying sources and revisions. For example, S_n - I - CA is approximately 1.40 GDP percentage points for Singapore and -0.85 for the United States. These reconciliation residuals are reported openly; they are not evidence of hidden saving, capital flight, or an economic mechanism.

3.2 Sectoral evidence without a false harmonized ranking

Economy and period	Household evidence	Corporate evidence	Qualification
China, 2023	Gross saving/GDP 21.23%; gross saving/disposable income 34.92%	Nonfinancial and financial enterprises combined: gross saving/GDP 22.22%	NBS flow-of-funds accounts, using GDP from the same table
United States, 2024	Households and institutions: gross saving/GDP 7.07%	Nonfinancial corporate plus financial business: about 12.00%; broader domestic business: 13.69%	March 2026 Fed vintage; broader perimeter includes noncorporate depreciation
Singapore, 2025	IMF private household saving/GDP 17.0%	Estimated private corporate saving/GDP 16.8%	Private-sector scope, estimation, and year differ
Japan, 2024	OECD calendar-year household net saving rate 0.7%; official FY2024 rate 0.8%	OECD identifies a persistently large corporate saving-investment surplus	Net saving/income differs from gross saving/GDP; fiscal year also differs
Korea, 2024 household data	OECD Outlook 118: household net saving rate 9.6% of disposable income	OECD's 2024 survey describes high corporate saving without proportionate domestic business investment	Report narrative is used; chart readings are not presented as exact 2024 observations

Sources: [2], [12-16], [19], and [27]. Singapore's sector figures are from searchable official IMF text; full-text access was restricted. They are not used to construct a sectoral sum or an exact cross-country ranking. A same-year gross-saving panel fully matching China's sector definitions has not been established for Japan and Korea; this remains a limitation.

A separate same-release comparison of household net saving rates is possible: OECD Economic Outlook 118 reports 2024 values of 9.6% for Korea, 5.7% for the United States, and 2.0% for Japan, relative to disposable income. Japan's 2.0% and the later report's 0.7% are different vintages and must not be mixed. These net rates must not be directly compared with China's 34.92% gross rate.[27]

China's general government gross saving in the same 2023 table is approximately -0.88% of GDP. High Chinese saving therefore does not mean that the government account itself necessarily records large positive saving. Public influence through enterprises, finance, and investment arrangements is distinct from the sign of current government saving.

China's household share of the three sectors' gross disposable income declined from 68.9% in 1992 to 56.7% in 2010, then recovered to 61.2% in 2023. This denominator is national disposable income; household disposable income/GDP in 2023 is approximately 60.80%. Both the income share and saving propensity matter, but the evidence does not establish an uninterrupted decline in the former, or prove in advance that it dominates the latter.[2]

4. Propositions and the limits of the evidence

Proposition 1: Culture can matter without independently explaining persistence and differences

A strong claim that shared East Asian cultural traditions determine persistently high household saving is difficult to reconcile with Japan's current low net household saving and the institutional role of compulsory accounts in Singapore. The comparison weakens cultural determinism and the associated claim that policy is ineffective. It does not eliminate cultural influences or quantify them.

Proposition 2: The organization of insurance matters more than an undifferentiated welfare label

Tax-funded risk pooling, compulsory individual accumulation, and market insurance have different effects. Gross corporate saving includes depreciation and is not freely distributable net profit. Public pensions can reduce some self-insurance needs; mandatory individual accounts can directly raise recorded saving. Credible future benefits, access for mobile workers, and household liquidity also affect behavior. Higher welfare provision does not universally imply lower saving: the net effect and the financing incidence must be examined. Pay-as-you-go pensions assign some payment obligations to future taxpayers and contributors: better risk pooling does not eliminate the real-resource demands of aging.

Proposition 3: Income shares and spending propensities are separate accounting channels, with distribution within households adding another

The identity in Section 2 establishes the simultaneous existence of the first two channels, not which is exogenous. A given total household income can support different aggregate consumption when allocated across households with different marginal propensities to consume, debts, ages, and expectations. Higher wages, transfers, or dividends also change taxes and firms' investment incentives. A transfer across domestic sectors is not automatically an increase in national income.

Proposition 4: Saving can be excessive only relative to opportunities, prudent reserves, and real-resource constraints

If desired private net asset accumulation exceeds what investments with positive social net present value can absorb, and foreign demand cannot expand indefinitely, ex post balance may emerge through lower income, fiscal deficits, or external surpluses. This is a mechanism to investigate, not a theorem that every unit of saving suppresses demand. Causality can also run backward: weak demand lowers expected returns, delays investment, and encourages precaution.

Assessing excessive accumulation consequently requires project returns, capacity utilization, prices and wages, debt quality, and household risks. Industrial resilience, basic research, and decarbonization can produce social benefits beyond accounting profits. A single financial return ratio cannot settle the case against public investment.

Proposition 5: Institutional allocation of returns and risks may lag productive capacity

The central proposition is that when production capacity grows rapidly and marginal returns to some investments diminish, institutions providing broad, stable household income and public protection may adjust too slowly. A persistent obstacle can then emerge between capital accumulation and household welfare.

Observable implications include improved consumption after credible protection and employment expectations strengthen, conditional on income and demographics; higher welfare when public capital returns transparently support services; and better capital efficiency after low-return projects exit. Persistent nonresponses to meaningful protection, or sustained high social returns alongside strong demand, would narrow the proposition's relevance. The paper does not claim to have conducted these tests.

5. China: why consumption reform is also fiscal reform

5.1 Three reinforcing mechanisms

Housing adjustment and income uncertainty can encourage balance-sheet repair. Weak household expenditure can lower firms' sales expectations and investment returns. Falling land-related revenue and local debt pressures can constrain services and payment of arrears, affecting income and confidence in turn. These links vary across regions and cannot be inferred for every firm or household from national totals.

Recent World Bank updates continue to link cautious household spending to income risks and balance sheets. The July 2026 update reports first-quarter real household consumption growth of 2.6% and a saving rate of 32.4% on a four-quarter moving-average basis. These report-specific indicators are not combined with the 34.92% annual sector-account calculation.[5-6]

5.2 Land-finance adjustment exposes the funding of continuing commitments

China's Ministry of Finance reports approximately RMB5.77 trillion in nationwide government-managed fund revenue in 2025, down 7%, with falling local land-conveyance revenue an important cause.[23] Its January-August 2026 release also reports declining land-conveyance revenue.[24] This does not imply that every recurrent local revenue source is falling, or that all regions face identical risks.

From a public balance-sheet perspective, land conveyance is not a perpetual tax source without an opportunity cost. Continuing promises for pensions, health, education, and basic services require reliable recurrent revenue and predictable transfers. Bond issuance changes the timing of financing; it does not automatically create permanent fiscal resources.

When service responsibilities and revenue do not follow mobile populations consistently, additional entitlements without clear funding can produce uneven access, arrears, and

uncertain expectations. Fiscal reform supporting consumption must therefore address tax sharing, central funding responsibilities, equalization, and budget transparency together.

5.3 Public capital: examine incentives and the destination of returns

The statement that state enterprises have no return-related performance evaluation is an unacceptable premise. SASAC's published description of central-enterprise performance indicators for 2025 includes return on equity.[26] The empirical questions concern implementation, separation of policy mandates from commercial investment, financing advantages, and exit incentives.

Competitive firms, natural monopolies, and public-service enterprises should be assessed against their different functions. Consolidated net assets, cash flows, subsidies, guarantees, and remittances should be disclosed. Higher dividends can support services, but offsetting subsidies, hidden borrowing, or higher user charges reduce the net household gain. Gross public assets are not a stock of freely distributable household wealth.

6. Comparative macroeconomic and fiscal interpretations

6.1 China: linking capital formation to more complete household protection

Manufacturing capacity, infrastructure, and industrial coordination remain strengths, and some investment needs have high social returns. Adjustment requires identifying expansion whose returns are inadequate while creating durable growth in household incomes, protection, and service supply. Industrial upgrading and consumption can reinforce one another, but new-sector output does not guarantee proportionate employment or wage gains.

Fiscal evaluation should emphasize full-life-cycle social returns and household outcomes. Housing completion and payment of public arrears can restore credible commitments; pensions, health, and unemployment protection require durable funding. Monetary easing can reduce financing stress, but transmission depends on balance-sheet repair and fiscal arrangements when households want to repay debt and firms lack orders.[7]

6.2 Japan: low household saving does not automatically resolve demand problems

Japan shows that low net household saving can coexist with high gross national saving. Overseas income and corporate behavior matter. The OECD's 2026 survey identifies a persistently large gap between corporate saving and domestic investment.[12] Household willingness to spend is therefore an incomplete explanation of the macroeconomic outcome.

Fiscal analysis must consider aging-related spending alongside private demand for net assets. Real wages, labor participation, service efficiency, and corporate capital allocation are relevant. Fiscal stabilization can support weak demand, but persistent deficits cannot replace sustainable pension, health, and tax arrangements. For China, Japan highlights the importance of balance sheets and income transmission; it does not establish an inevitable repetition of Japan's growth history.

6.3 Korea: competitive exporters can coexist with household financial pressure

Korea's globally competitive manufacturers do not imply strong purchasing power for every household. The OECD's 2024 survey discusses corporate saving and investment asymmetries; its 2026 survey emphasizes high household debt, housing affordability, and aging.[14-15] Together they justify examining firms, households, and government rather than treating national saving as a household trait.

Childcare, education opportunities, old-age protection, and portable benefits need credible long-run financing. Better service-sector productivity and employment quality in smaller firms may spread income gains more widely than further expansion of similar capital inputs, although individual reforms need evaluation. China's lesson is to assess industrial success through employment, wages, and services as well as international market shares.

6.4 Singapore: protection through compulsory accumulation and public assets

CPF exemplifies institutionally required individual accumulation. In 2026, qualifying employees aged 55 and below face full employer and employee contribution rates of 17% and 20%. Wage ceilings and age and residency conditions mean that 37% is not a national household saving rate.[17] CPF assets represent individual claims and related public liabilities; consolidation must not count only the assets.

The Ministry of Finance's Net Investment Returns Contribution framework separately connects part of expected long-term real investment returns to annual budgets. Its rules take relevant net assets and government liabilities into account, providing an institutional bridge between accumulation and intergenerational use.[18]

A low household consumption/GDP ratio establishes neither low welfare nor an optimal allocation. GDP in a small international production and financial center does not accrue entirely to domestic residents. China can learn from credible asset management and rule-based use of returns; replicating the same dependence on external surpluses at China's scale is a different proposition.

6.5 United States: consumption, public support, and deficits must be considered together

Social Security and other public programs make it inaccurate to describe Americans as bearing retirement risks entirely on their own.[21] Personal consumption includes some services purchased on households' behalf, particularly health care. High PCE therefore does not measure an equally large amount of discretionary shopping by households.[20]

The Fed's table reports approximately USD2.05 trillion of negative net government saving in 2024. Gross government saving remains negative after depreciation is added back.[19] Low national saving is consequently not simply a story about household borrowing. Credit, wealth, and public transfers can support consumption, with different effects across households.

The CBO's 2026 baseline projects an increasing ratio of federal debt held by the public to GDP over 2026-2036; this is a conditional projection, not an observed outcome.[22] The United States needs credible medium-term fiscal arrangements while protecting vulnerable households and effective investment. China can learn from risk sharing and

income transmission without making low saving, rising asset prices, or permanent foreign financing its objective.

7. A fiscal policy portfolio built around credible commitments

The following are analytical recommendations, not announced Chinese policies or predictions about official intentions or implementation dates.

Reform	Economic mechanism	Fiscal constraint and implementation condition
Better basic pensions, health protection, and assistance for underprotected groups	Reduce catastrophic risks and support households with greater spending needs	Explicit benefit rules, recurrent funding, and regional equalization
Portable services for actual residents	Reduce duplicated self-insurance by mobile workers	Transfers follow service populations; reliable data and responsibilities
Housing completion and public arrears resolution	Repair credible household and business income expectations	Recognize losses and assign liability without universal asset-price guarantees
Transparent use of competitive public capital returns	Connect capital income to social provision	Allow for debt, capital maintenance, and justified investment; prevent offsetting subsidies
Stable local revenue and more progressive taxation	Finance continuing services and improve incentives and distribution	Assess tax incidence, valuation capacity, transition, and housing conditions
Preserve high-social-return investment and exit ineffective projects	Improve capital quality and long-run productivity	Evaluate externalities, life-cycle costs, and alternative uses independently

Near-term stabilization should connect with structural change. Income support, arrears settlement, and housing completion can affect cash flows relatively quickly. Portability, revenue reform, and public capital governance take longer. Durable consumption capacity cannot be built entirely on repeated subsidies for the same durable goods. Near real supply constraints, additional expenditure may instead raise prices or imports, or displace other uses. The long-run welfare case for protection and its short-run demand effects should be evaluated separately.

7.1 An explicit budget stress test

Consider a purely illustrative, unestimated annual recurrent support program costing 1.5% of GDP. Assume 0.5% comes from reallocating ineffective expenditure, 0.4% from additional stable net revenue, and 0.6% from temporary additional central borrowing. These sum to 1.5%; they are not estimates of available resources.

The deficit is financing, not revenue. If the program is permanent and the 0.6% borrowing increment is to end, equivalent permanent revenue or further savings must replace it. Public dividends should count only their net consolidated fiscal increment. Debt swaps can ease liquidity or interest burdens without turning the full principal into new resources. Consumption effects operating through income and precautionary saving must not be double-counted.

Fiscal capacity depends on nominal growth, effective interest rates, initial debt, guarantees, and asset losses. With d denoting debt/GDP, r the nominal effective interest rate, and g nominal GDP growth, an approximate debt relation is:

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Change in d = [(r - g) / (1 + g)] × previous d + primary deficit/GDP + stock-flow adjustments
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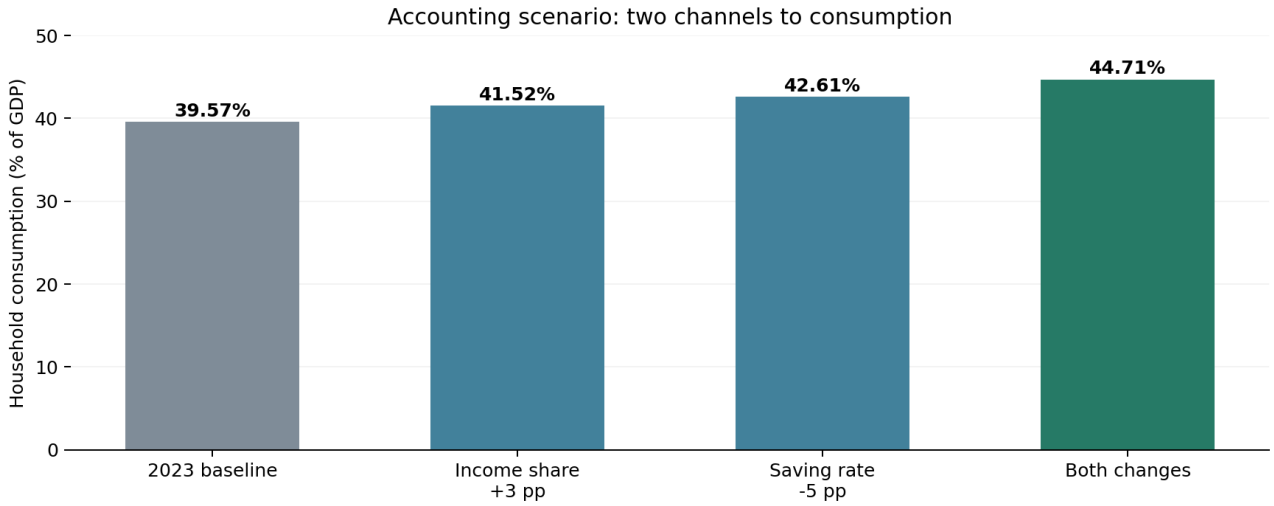
Restoring nominal income growth can support debt stability. Low interest rates alone do not establish unlimited borrowing capacity, and local fiscal capacity cannot be equated with central capacity.

8. Outlook: accounting potential, behavioral responses, and sequencing

Using China's same-table 2023 NBS data only as an accounting baseline, household income/GDP is 60.80%, the gross saving rate 34.92%, and household consumption/GDP 39.57%. Table 3 changes two parameters consistently. It is not a forecast and does not assume that actual GDP or income would be unaffected by policy.

Accounting scenario	Change in income share	Change in saving rate	Household C/GDP
2023 baseline	0	0	39.57%
Income-share change only	+3 percentage points	0	41.52%
Saving-propensity change only	0	-5 percentage points	42.61%
Both changes	+3 percentage points	-5 percentage points	44.71%

The combined increase is approximately 5.14 GDP percentage points: 1.95 through the income channel, 3.04 through the saving-propensity channel, and 0.15 through interaction. This demonstrates arithmetic, not the effect of a particular fiscal program costing 1.5% of GDP. It cannot be inverted into a causal explanation of cross-country differences.



China 2023 NBS baseline. Combined change: 5.14 pp. Assumptions only; no estimated policy effect.

Figure 2. Counterfactual accounting using the consistent 2023 Chinese baseline. All parameter changes are assumed.

Three conditional paths are useful. If credible protection and income transmission improve and private employment and investment respond, consumption and productive investment can reinforce each other. If adjustment remains concentrated in goods subsidies and investment support, spending rebounds may depend more heavily on policy timing. If several sectors deleverage simultaneously and external demand weakens, falling income can frustrate intended asset accumulation, increasing the case for conditional fiscal stabilization.

No estimated probabilities are assigned to these paths, and no particular completion year is asserted. Early indicators include coverage, arrears, real income, and jobs. Subsequent indicators include expenditure composition, investment returns, and recurrent local revenue. Longer-run evaluation must examine pensions, health, ecological outcomes, and public net assets.

9. A global perspective: countries cannot all become net creditors

In principle, current accounts sum to zero globally, subject to measurement discrepancies. A country's net lending requires corresponding net borrowing elsewhere. A world in which every country sustains high saving through external surpluses is therefore impossible. Neither surplus nor deficit is inherently virtuous: the question is whether cross-border finance improves welfare and sustainable repayment capacity on both sides.[4,25]

A coordinated direction is stronger appropriate domestic demand in surplus economies, improved fiscal balances and domestic saving in deficit economies, and preservation of effective investment. Simultaneous demand compression risks global income losses. Adjustment must therefore consider pace, exchange rates, debt, and financial stability, rather than bilateral trade balances alone.

High saving is not a universal global failure. Decarbonization, basic research, and infrastructure and services in lower-income countries require long-term capital. Project preparation, governance, foreign-exchange risk, and debt sustainability can prevent social needs from becoming financeable investments. Development finance, suitable risk

sharing, and debt transparency can help, without shifting unmanageable risks onto vulnerable borrowers.

AI and automation make the distribution question more pressing. Productivity gains do not guarantee proportionate employment or broad purchasing power. Institutions need to transmit returns through labor income, participation in capital ownership, and public services, while respecting ecological limits. Higher prices, redundant construction, or wasteful consumption are poor substitutes for improved welfare.

10. Testable research agenda and limitations

The paper does not establish the precise weight of each mechanism. A next stage should build a same-year panel covering nonfinancial and financial corporations, government, households, and NPISHs, reconciling depreciation, pension adjustments, and foreign income. Sector accounts support description and decomposition, not independent causal identification.

Policy changes in regional benefits or portability could support event studies and carefully designed difference-in-differences estimates of consumption, income, labor supply, and saving. Analysis needs pretrend checks and attention to policy selection, concurrent reforms, migration, and anticipation. Heterogeneity and confidence intervals are essential. Firm-level research should examine marginal project returns against financing costs rather than mix total assets, equity, and profits.

Three limits remain. Five countries cannot identify cultural and institutional effects reliably. Sectoral accounts do not reveal ultimate wealth ownership because households have claims on firms. Finally, this paper does not fully estimate tax incidence, supply responses, or general-equilibrium effects; its budget illustration displays constraints rather than a calibrated reform package.

11. Conclusion

The comparison rejects a single-origin, single-meaning account of high saving. China combines high household and corporate gross saving with substantial domestic capital formation. Japan, Korea, Singapore, and the United States show different combinations of corporate accumulation, household debt, compulsory accounts, public assets, and government dissaving.

China's priority is to investigate and improve the conversion of productive gains into broad, stable household income, effective risk sharing, and capital allocation disciplined by real returns. Fiscal policy must address current demand, intertemporal commitments, and central-local responsibilities together, while avoiding a mechanical choice between consumption and investment.

At the level of humanity, capital accumulation is justified by the future opportunities it creates. A mature growth regime enables productivity, distribution, protection, environmental sustainability, and fiscal capacity to evolve together. No single saving or consumption ratio can substitute for that objective.

References and reproducibility materials

Numbered references, primary source links, and claim mappings are provided in REFERENCES.md. Measurement corrections and limitations appear in DATA_NOTES.md, with the argument's development in RESEARCH_TRAJECTORY.md. Included scripts regenerate the tables, figures, and accounting scenarios. Missing sectoral data have not been filled with unverified figures from earlier conversation.

References and evidence map / 参考文献与证据索引

Research cutoff / 检索截止：2026-10-22。References are numbered consistently in both papers. Official statistics and original research are distinguished from the paper's own inferences. / 两种语言使用相同编号；官方统计、原始研究与本文推论分别标明。

[1] World Bank: World Development Indicators

- Household and NPISH final consumption/GDP
- Government final consumption/GDP
- Total final consumption/GDP
- Gross capital formation/GDP
- Gross national saving/GDP
- Gross domestic saving/GDP
- Current account/GDP

Use / 用途： 2024 common aggregate table, 2000-2024 time series, and reconciliation residuals. Raw JSON and API URLs are frozen in `data/raw/` and `data/wdi_manifest.json`. API database date: 2026-10-08. WDI source attribution and applicable data terms remain in force; the data pages identify CC BY 4.0, subject to provider exceptions. / 统一总量比较与历史序列；保留完整原始响应及查询地址。核算残差是本文计算结果。

[2] National Bureau of Statistics of China (2025), China Statistical Yearbook 2025

- Yearbook index
- Table 3-15, flow of funds, nonfinancial transactions, 2023
- Table 3-18, gross disposable income by sector
- Table 3-1, GDP and GNI

Use / 用途： Chinese sectoral amounts, same-table GDP, household saving-rate calculation, and the 1992-2010-2023 household income-share trajectory. Image tables were visually read, with relevant entries transcribed into the accompanying CSV; the official images are linked rather than republished. / 中国部门原始金额、同表GDP、住户储蓄率与收入份额轨迹。不是从居民调查的收入和消费相减所得。

[3] OECD, Household savings: indicator definition

Definition

Use / 用途： Net saving, pension entitlement adjustment, household and NPISH perimeter. This definition page alone does not establish a five-country same-vintage saving-rate table. / 解释净储蓄、养老金权益调整及住户和非营利机构口径；定义页不能代替数值数据集。

[4] European Commission, IMF, OECD, United Nations and World Bank (2009), System of National Accounts 2008

Full manual

Relevant chapters / 相关章节： 3-4, 8-11, 16, 22, 24, 26. **Use /** 用途： Historical accounting conventions for sector boundaries, saving, social transfers in kind, capital accounts, and external accounts. A newer SNA edition exists, but its publication does not imply that historical country series have all been recompiled. / 本文历史序列所用核算概念；新标准发布不等于各国既往序列已经同步重编。

[5] World Bank (2025), China Economic Update, December 2025: Advancing Reforms, Enhancing Prospects

Report

Locator / 位置： Special Focus III, printed pp.20-27. **Use /** 用途： Household saving, financial intermediation, risk, and portfolio discussion. The report's 31.3% figure is retained as its own reported series, not silently relabeled as the NBS flow-of-funds gross saving rate. / 31.3%仅作为该报告的系列，未冒充本文同表计算的34.92%。

[6] World Bank (2026), China Economic Update, July 2026

Report

Locator / 位置： Recent developments, printed pp.5-6. **Use /** 用途： Q1 real household consumption growth of 2.6%, a reported saving rate of 32.4% on a four-quarter moving average, and household caution. These are report-specific measures. / 季度诊断，不与年度部门口径作直接排名。

[7] IMF (2026), People's Republic of China: 2025 Article IV Consultation, Country Report 26/044

Staff report

Locator / 位置： Sections on fiscal policy, property adjustment, and reducing household savings; especially paragraphs 48-53. **Use /** 用途： Contemporary macroeconomic diagnosis and policy tradeoffs, with authorities' views distinguishable from staff recommendations. The paper does not treat staff forecasts as outcomes. / 区分工作人员建议、中方观点与预测值。

[8] Chamon, Marcos, and Eswar Prasad (2010), Why Are Saving Rates of Urban Households in China Rising?

American Economic Journal: Macroeconomics, 2(1), 93-130. DOI. Earlier research version: NBER Working Paper 14546, 2008.

Use / 用途： Historical evidence and mechanisms relating saving to housing, health, and education responsibilities. Historical sample findings are not asserted as current causal coefficients. / 历史机制证据，未将历史系数直接外推至2026年。

[9] Chamon, Marcos, Kai Liu, and Eswar S. Prasad (2010), Income Uncertainty and Household Savings in China

IMF Working Paper 10/289. Paper page

Use / 用途： Income uncertainty, pension reform, and a buffer-stock saving mechanism. Model calibration does not independently identify the entire macroeconomic effect of a present-day reform. / 收入风险、养老金及缓冲储蓄机制。

[10] Xu, Yizhi, Fan Zhang, Rongyu Cui, and Ding Hua (2025), Reforms to Reduce China's High Household Savings

IMF Working Paper 25/259. Paper page. PDF. DOI.

Use / 用途： Rural social spending, Hukou, and housing wealth/downpayment mechanisms. Working papers reflect authors' analysis rather than automatically being the IMF's institutional policy. / 农村保障、户籍与住房机制；研究论文不等于机构正式政策。

[11] Chen, Peter, Loukas Karabarbounis, and Brent Neiman (2017), The Global Rise of Corporate Saving

Journal of Monetary Economics, 89, 1-19. NBER Working Paper 23133. Original working paper PDF.

Use / 用途： Global corporate-saving context and the distinction between household and corporate income accumulation. Does not prove that one country's retained earnings are all inefficient. / 企业储蓄的全球背景，不支持将全部留存收益视为浪费。

[12] OECD (2026), OECD Economic Surveys: Japan 2026

Report

Locator / 位置： Table 1.1, printed p.23; corporate saving-investment discussion, printed p.81. **Use /** 用途： Calendar-year 2024 net household saving rate of 0.7% in this vintage and a persistent corporate saving-investment surplus. Cash holdings discussed by OECD are stocks and are not treated as annual saving. / 0.7%为该版本日历年净储蓄率；公司现金存量不等于年度储蓄。

[13] Economic and Social Research Institute, Cabinet Office of Japan (2025), Annual Report on National Accounts for 2024: Flow Accounts

Official summary, 23 December 2025

Locator / 位置： Household disposable income and saving, PDF pp.8-9. **Use /** 用途： FY2024 household net saving of JPY2.6 trillion and saving ratio of 0.8%. Fiscal-year and calendar-year values are not interchangeable. / 财政年0.8%与OECD日历年0.7%不可混写。

[14] OECD (2024), OECD Economic Surveys: Korea 2024

Report

Locator / 位置： Printed p.53, Figure 3.3 and surrounding text. **Use /** 用途： High corporate saving, business investment, and diminishing scope for capital-deepening-led catch-up. Report language and figure dates are not converted into an exact 2024 departmental observation. / 不用图形目测值构造精确年度排名。

[15] OECD (2026), OECD Economic Surveys: Korea 2026

Report

Locator / 位置： Housing and household debt, printed p.28; broader discussions of aging and productivity. **Use /** 用途： Household vulnerabilities and fiscal/service reform tradeoffs. / 家庭债务、住房压力与老龄化背景。

[16] IMF (2026), Singapore: 2026 Article IV Consultation, Country Report 26/185

Official indexed report text. Board assessment.

Use / 用途： Indexed official report text identifies 2025 private household saving/GDP of 17.0% and estimated private corporate saving/GDP of 16.8%. Full-report access returned an access restriction during preparation; these supplementary figures are not used for exact harmonization or sectoral reconciliation. / 全文访问受限；数值仅作补充说明，不进入统一加总。

[17] Central Provident Fund Board, Contribution rate tables from 1 January 2026

Official tables. Current contribution guide.

Use / 用途： Full-rate employer/employee contributions of 17%/20% for qualifying employees aged 55 and below, subject to wage and residency conditions. Not a national saving-rate estimate. / 完整费率及其适用限制，不是全国储蓄率。

[18] Ministry of Finance, Singapore, Net Investment Returns Contribution

Framework

Use / 用途： NIR/NII rules, relevant assets net of government liabilities, and permitted budget use of part of expected long-term real returns. The framework is not described as spending half the principal or half each year's market gain. / 不是支用一半本金，也不是逐年市值涨幅的一半。

[19] Board of Governors of the Federal Reserve System (2026), Financial Accounts of the United States, 19 March 2026

Statistical release

Locator / 位置： F.2, printed p.26; F.4, printed p.28. **Use /** 用途： 2024 GDP and sectoral net saving/depreciation to reconstruct gross saving. The broader business aggregate includes noncorporate depreciation; it is not silently equated with S11+S12. / 详细公式和原始条目见数据说明。

[20] Bureau of Economic Analysis, NIPA Handbook, Chapter 5: Personal Consumption Expenditures

Chapter. Consumer spending definition.

Use / 用途： Expenditure by or on behalf of households and interpretation of PCE. Does not establish that medical spending translates one-for-one into welfare. / 第三方支付与PCE口径；支出金额不等于福利。

[21] Social Security Administration (2026), Monthly Statistical Snapshot, September 2026

Official statistics

Use / 用途： Evidence that substantial public retirement/disability/survivor income support exists in the United States. The live page can roll forward after the research cutoff. / 证明公共保障制度确实存在；页面会随时间更新。

[22] Congressional Budget Office (2026), The Budget and Economic Outlook: 2026 to 2036

Report, February 2026

Use / 用途： Conditional current-law projections of federal debt held by the public and fiscal pressures. This measure differs from general government gross debt. / 公众持有联邦债务口径，不与广义政府总债务混同。

[23] Ministry of Finance, China (2026), Report on the Execution of the Central and Local Budgets for 2025 and Draft Budgets for 2026

Official report, 16 March 2026

Use / 用途： 2025 government-managed fund revenue, its decline, and the role of land-conveyance receipts. Government-managed funds are not identical to all local recurrent revenue. / 基金预算不等于全部地方经常性收入。

[24] Ministry of Finance, China (2026), Fiscal Revenue and Expenditure, January-August 2026

Official release, 18 September 2026

Use / 用途： Continued land-revenue pressure as reported in this release, without claiming this was the latest release available on every subsequent date. / 只支持该期财政诊断，不声称永远是最新数据。

[25] IMF (2026), External Sector Report

Report. Economy assessments.

Use / 用途： Global external-balance context and structural interpretation. Normative recommendations and the coordinated-adjustment framework in the paper are the paper's own synthesis. / 全球背景；本文的协调改革方案是独立综合判断。

[26] SASAC, published account of central enterprise objectives for 2025

Official-hosted discussion

Use / 用途： Published performance targets include return on equity, refuting the blanket premise that state enterprises have no return-related assessment. Existence of a target does not establish effective implementation or an appropriate marginal social return. / 考核指标的存在不等于实际执行充分，更不等于所有投资有效。

[27] OECD (2025), Economic Outlook 118, Statistical Annex, Table 28

Official December 2025 annex. Earlier comparison: June 2025 EO117 annex.

Locator / 位置： EO118 printed p.37, net saving section. **Use /** 用途： Same-vintage 2024 household net saving rates: Korea 9.6%, Japan 2.0%, United States 5.7%. Values retain this release vintage and are not substituted for newer Japan data or compared directly to gross household saving in China. / 固定版本的居民净储蓄率，不与总储蓄率混比；版本变动的原因未在本文识别。

Evidence hierarchy / 证据层级

- **Accounting /** 核算： identities and arithmetic, which hold only with matching definitions.
- **Description /** 描述： source-specific observed data, with year and vintage retained.
- **Mechanism /** 机制： original literature and institutional evidence, with limits to external validity.
- **Synthesis /** 综合判断： the paper's argument about institutions transmitting productive gains into welfare.
- **Scenario /** 情景： assumed parameter changes and a budget stress test, not an estimated forecast.

No unpublished causal estimates, fabricated confidence intervals, journal acceptance, or official endorsement are claimed. / 未声称拥有新的因果估计、虚构置信区间、期刊录用或官方背书。